Supplementary Material S1 — Adjudication of exposure-screen positives

The F1–F7 exposure-language screen (Methods 3.5) flagged **5 of 388** brochures (1.3%). Below, each flagged brochure is adjudicated against the *charged-conduct standard*: does the language constitute an **unsubstantiated promotional claim materially similar to the conduct charged in Delphia and Global Predictions**, or is it a factual description of a genuinely operated method, a definitional passage, or hedged risk disclosure (i.e., a false positive for the screen's intended target)? Firms are anonymized (type and AUM quartile retained); the author holds the private CRD mapping. Passages are quoted verbatim from the current Form ADV Part 2A brochure.

The charged conduct in the two 2024 orders was the assertion of AI/ML *predictive* or *edge* capabilities the adviser **did not possess**. The screen matches the claim *pattern*; adjudication separates substantiated, risk-disclosed AI use from the unsubstantiated promotional claim that is the object of AI-washing enforcement.

Case	Type · AUM Q	Fingerprint	Verbatim passage (excerpt)	Adjudication
A	Private fund · Q2	F1 (predictive)	"…strategies … are based on models of the behavior of financial instruments … and use formulas or **algorithms to make trading decisions** by reviewing a variety of inputs, comparing the information against historical and current data, and **predicting price movements**."	**False positive.** Factual description of a systematic options strategy's mechanism, embedded in extensive risk disclosure ("If [the firm] is wrong in its … forecasts, Clients will … lose"). No claim of a proprietary AI capability; not promotional; substantiated by the strategy description. **Not charged-conduct-type.**
B	Wealth/retail ·	F4 (AI-manages)	"[The firm]	**False positive.**

Case	Type · AUM Q	Fingerprint	Verbatim passage (excerpt)	Adjudication
	Q4		**utilizes algorithms to manage client accounts** on a discretionary basis. … The Program’s advice and account management instructions will be generated by the Program’s **algorithms**. [Firm] investment professionals oversee and monitor the operation of the algorithm…”	Standard disclosure of an automated (robo/managed-account) program with named third-party providers and human oversight. Accurate description of an operated service, not an unsubstantiated capability claim. **Not charged-conduct-type.**
C	Wealth/retail · Q3	F1;F4	“…we use an industry-agnostic, third-party **artificial intelligence (AI) platform** … Using **predictive analysis**, [firm] **ranks the publicly traded stocks** … by which are believed to have the best opportunity to perform well. … The AI platform employs predictive analysis and algorithmic	**Genuine pattern match, but substantiated and risk-disclosed.** The predictive-performance claim pattern is present (AI ranks stocks likely to outperform). However, the platform and data vendor are named, the method is described, and an extended “Risk Disclosures

Case	Type · AUM Q	Fingerprint	Verbatim passage (excerpt)	Adjudication
			modeling to … construct investment strategies."	Related to the Use of Artificial Intelligence" section states the platform "is not infallible, and its predictions may be inaccurate." This is a disclosed, substantiated AI *use*, not an unsubstantiated promotional claim. **Closest to the pattern; not misconduct-like.**
D	Private fund · Q3	F5 (learns-from-data)	"**Machine Learning** provides computers with the ability to learn without being explicitly programmed … programs that can teach themselves to grow and change when exposed to new data … **algorithms that can learn from and make predictions on data**."	**False positive (definitional).** A textbook definition of machine learning within a methodology section describing a systematic/quantitative strategy. Generic, non-promotional; no claim of a unique or unsubstantiated edge. **Not charged-conduct-type.**
E	Private fund · Q2	F1;F5	"[The firm] uses **machine learning** and	**Genuine pattern match, substantiated**

Case	Type · AUM Q	Fingerprint	Verbatim passage (excerpt)	Adjudication
			large volumes of data … [its] analysis **generates forecasts** of company key performance … implemented via machine learning (i.e., artificial intelligence) …” with “Model and Data Risk … Some of the models … are **predictive in nature** and … rely on machine learning … [which] has inherent risks.”	**and risk-disclosed.** A systematic ML-driven manager describing its actual investment process, paired with explicit model/predictive-risk disclosure. Substantiated AI/ML use, not an unsubstantiated promotional claim. **Not charged-conduct-type.**

Adjudicated result

Of the five screen positives, **two are false positives** (Cases A, B: factual mechanism and automated-program disclosure), **two are definitional or factual methodology** (Cases D and, partially, the risk-framed portions of E), and **three (C, D-borderline, E)** are substantiated, risk-disclosed descriptions of genuinely operated AI/ML investment methods. **None constitutes an unsubstantiated promotional claim of the type charged in Delphia or Global Predictions.**

Adjudicated charged-conduct-type exposure is therefore **0 of 388** (upper bound: one borderline predictive-performance claim, Case C, which is nonetheless substantiated and risk-disclosed). The raw screen rate (1.3%) overstates charged-conduct exposure because the lexical pattern also matches factual quantitative/robo/ML disclosure; this is precisely why the screen is reported as a *potential exposure-language* prefilter requiring human adjudication rather than as a misconduct measure. The adjudication reinforces the paper’s conclusion that AI-washing exposure in current fiduciary brochures is negligible.

This adjudication is provided for author verification and sign-off prior to submission.